



Journal of Southern African Studies

Malawi's Agricultural Economy and the Evolution of Legislation on the Production and Marketing of Peasant Economic Crops

Author(s): Clement Ng'ong'ola

Source: *Journal of Southern African Studies*, Vol. 12, No. 2 (Apr., 1986), pp. 240-262

Published by: [Taylor & Francis, Ltd.](#)

Stable URL: <http://www.jstor.org/stable/2636745>

Accessed: 06/06/2013 06:12

Your use of the JSTOR archive indicates your acceptance of the Terms & Conditions of Use, available at <http://www.jstor.org/page/info/about/policies/terms.jsp>

JSTOR is a not-for-profit service that helps scholars, researchers, and students discover, use, and build upon a wide range of content in a trusted digital archive. We use information technology and tools to increase productivity and facilitate new forms of scholarship. For more information about JSTOR, please contact support@jstor.org.



Taylor & Francis, Ltd. and *Journal of Southern African Studies* are collaborating with JSTOR to digitize, preserve and extend access to *Journal of Southern African Studies*.

<http://www.jstor.org>

Malawi's Agricultural Economy and the Evolution of Legislation on the Production and Marketing of Peasant Economic Crops

CLEMENT NG'ONG'OLA

Towards the end of the 1970s decade, one of the pervading themes in the historiography of agriculture in Malawi was the centrality of colonial land and labour policies in the 'underdevelopment' of agriculture and the general exploitation of peasant communities. It was suggested in some of the major works that the colonial administration generally pursued policies which furthered the agricultural and economic interests of the metropolitan country and local European settlers, at the expense of the Africans. It particularly sanctioned the alienation of some of the best arable lands to the settlers, and the reduction of the Africans resident thereon to a servile status under inhuman labour tenancies known as *Thangata*. Africans from other parts of the country were coerced into the labour market by devices like hut and poll tax.¹ In marxian language, it could be said that colonialism fuelled capitalism by arrogating to the settlers the means of economic production and by reducing the Africans to a labouring class or a rural peasantry.

The deleterious impact of colonial land and labour policies on peasant agriculture has been sufficiently documented, but the relative importance of such policies to the entire colonial agricultural economy should not be over-emphasized. It should be remembered that the amount of land prised out of African occupation for settler estate agriculture originally amounted to about 15 per cent of the country's land acreage,² and this was gradually reduced to about 2.4 per cent at the time of independence in 1964.³ Even before this reduction got underway in earnest after the

¹ SEE J. A. K. Kandawire, *Thangata: Forced Labour or Reciprocal Assistance*, (Research and Publications Committee, University of Malawi, 1979), and 'The Structure of the Colonial System as a factor in the Underdevelopment of Agriculture in Colonial Nyasaland', *Journal of Social Science*, 4 (1975) pp. 35–45; B. Pachai, *Land and Politics in Malawi, 1875–1975*, (Limestone Press, Canada, 1978), and 'The Issue of Thangata in the History of Nyasaland', *Journal of Social Science*, 3 (1974) pp. 20–34; and B. P. Wanda, *Colonialism Nationalism and Tradition: The Evolution and Development of the Legal System in Malawi*, (Ph.D. Thesis, University of London, 1975), Vol. 5 on Land Law and Policy. For an earlier work on similar themes, see B. S. Khrishnamurthy, *Land and Labour in Nyasaland: 1891–1914*, (Ph.D. Thesis, University of London, 1964).

² Pachai, *Land and Politics in Malawi*, p. 11 and p. 37.

³ Malawi Government, *Lands Department, Annual Report for 1966*, (Government Printer), p. 3.

second world war,⁴ the colonial administration was not unaware of the limited success of settler estate agriculture propped up by the *Thangata* labour tenancies.⁵ It was already apparent that the aims of colonialism and capitalism could also be attained by tapping the wider resources of the peasants who retained the occupation and use of their lands. This is one of the most likely explanations for the mountain of legislation on the production and marketing of peasant produced economic crops enacted throughout the colonial period, especially after the first world war.⁶ This essay is a compendium of such legislation, and of the political and socio-economic scenario in which it was enacted. It is intended to augment some of the more recent studies in which historical aspects of the production or marketing of some important commodities have been separately analysed.⁷ But this essay will attempt to chart the evolution of the important legal instruments of control for all the major peasant economic crops, from the colonial to the post-colonial period.

Economic Crops and General Methods of Sector Regulation

Crops deemed essential for the economy of the protectorate included both cash and food crops produced for the internal as well as external market.⁸ The principal export crops were coffee, for a very short period, and tobacco, tea and cotton for most of the colonial period. Coffee, tea and flue-cured tobacco were almost exclusively grown on settler estates. Tung was the other settler estate crop which attracted some legislation, but it never got firmly established as an export crop or cash commodity. Peasant cultivators participated in the production of cotton and dark fire-cured tobacco, and they were the principal producers of economic food crops like maize and groundnuts. In the post-colonial period, legislation has been introduced, and schemes implemented, for the purpose of 'Africanizing' settler estate crops like tea

⁴ The redistribution of land available for settler estate agriculture was undertaken partly in response to the recommendations of Sir Sidney Abrahams on the solution to the problem of *Thangata*. See, Nyasaland Protectorate, *Report of the Land Commission 1946*, (Government Printer, Zomba), pp. 18–21.

⁵ See R. Palmer, 'White Farmers in Malawi: Before and After the Depression', *African Affairs*, 84, 335 (April 1985), 211–45.

⁶ The existence of this jural mountain can be confirmed by glancing through indexes of the Annual Volumes of the Laws of Nyasaland. A straightforward count from this source shows that the regulation of the production and marketing of economic crops attracted the largest amount of legislation in the evolution of all agrarian laws, surpassing even land and labour legislation.

⁷ For some of the historical dimensions on commodity production and marketing in Malawi see J. McCracken, 'Planters, Peasants and the Colonial State: the Impact of the Native Tobacco Board in the Central Province of Malawi', *Journal of Southern African Studies*, 9, 2 (1983), 172–92; E. Mandala, 'Peasant Cotton Production, Gender and Inter-Generational Relationships: Lower Tchiri (Shire) Valley of Malawi', *African Studies Review*, xxv (1982), 27–44; M. Vaughan, 'Food Production and Family Labour in Southern Malawi: The Shire Highlands and Upper Shire Valley in the Early Colonial Period', *Journal of African History*, 23, 3 (1982), 351–64; L. White, '"Tribes" and the Aftermath of the Chitembwe Rising', *African Affairs*, 83, 333 (Oct 1983), 511–41; and R. Palmer, 'The Nyasaland Tea Industry in the Era of International Tea Restrictions 1933–1950', *Journal of African History*, 26 (1985), 215–39. It is apparent from some of these works that there was massive evasion of the laws by the settlers and other participants in the production and marketing sector, sometimes through the naked assertion of power. Legislation at times was not the most effective tool for regulating the agricultural economy. This paper is not primarily concerned with a reconsideration of such issues but with the content of the legislation itself and how it came about.

⁸ For a detailed account of economic crops and their export value in Nyasaland, see, C. A. Baker 'Nyasaland, The History of its Export Trade', *The Nyasaland Journal*, 15, 1 (1962), pp. 7–35.

and tobacco of varieties other than dark fire-cured.⁹ Cane sugar has also joined the league of major export commodities,¹⁰ but its production is essentially a large estate undertaking which has not yet attracted local statutory controls.

The ostensible objectives of the legislation on crop production and marketing and the methods of control evolved for all economic crops were generally similar. The ostensible basic objectives of the legislation were to increase the quantity and improve the quality of the crops, and to stabilize or regularize the income of farmers through periods of boom and depression. In times of depression, some of the legislation attempted to improve the quality of the produce, and to match production with demand, by imposing restrictions on the number of growers and their output. But the general thrust of the controls was towards increased production. The methods adopted for the attainment of the ostensible objectives included the registration of growers; the determination of producer prices; registration and licensing of intermediate buyers (middlemen), exporters and trading premises; and the establishment of commodity boards with exclusive or primary responsibilities for various crop production and marketing processes including the supply of inputs to farmers, and collection, transportation, storage, processing and resale of the commodity.¹¹

In spite of the general similarity in the objectives and methods of control evolved for all economic crops, it should be noted very briefly that special and different considerations influenced the regulation of the estate crops. For most of the colonial period, the political clout wielded by the settlers and their representatives in constitutional forums kept to a minimum statutory interference in the production and marketing of the estate crops. When coffee was the principal export crop, the only set of controls introduced restricted seed importation to prevent the spread of coffee leaf disease.¹² Substantive controls were eventually introduced for tea, flue-cured tobacco and tung in this order. In each case, however, legislation was originally introduced in the Legislative Council (LEGCO) as a private member's Bill, and at the behest, or with the consent, of settler associations responsible for the particular crop. Where a control Board was deemed necessary, its composition was also

⁹ See the Special Crops Act, No. 27 of 1963; Cap. 65:01, Laws of Malawi, and G.N. 212/1963, 213/1963, 26/1967, 129/1968, 194/1968 and 129/1969 on the establishment of the Small Holder Tea Authority and the Kasungu Flue-cured Tobacco Authority.

¹⁰ See, for example, Malawi Government, *Monthly Statistical Bulletin*, March 1984, (National Statistical Office, Zomba, April 1984), Table 2 on External Trade and Commodity Exports, p. 2.

¹¹ An economic evaluation of the basic objectives of the legislation and the general methods of sector control is beyond the scope of this work and the competence of ordinary legal scholarship. There is, however, no shortage of comparable economic literature on other African countries. For a sample, see: P. T. Bauer and B. S. Yamey, *Markets, Market control and Marketing Reform*, (London, 1968), especially Ch. 3; P. T. Bauer, *West African Trade*, (London, 1963), especially Part 5, Chapters 20–4; C. Leubuscher, 'Marketing Schemes For Native-Grown Produce in African Territories', 12 (1939) *Africa*, pp. 163–88; J. C. Abbott, 'The Development of Marketing Institutions' in H. Southworth and B. Johnston, (ed) *Agricultural Development and Economic Growth*, (Cornell University Press, 1970) pp. 364–98; W. O. Jones, 'Measuring the Effectiveness of Agricultural Marketing in contributing to Economic Development: Some African Examples', *Food Research Institute Studies in Agricultural Economics, Trade, and Development*, IX, 3 (1970) pp. 175–96; and C. Ehrlich, 'Marketing Boards in Retrospect – Myth and Reality', Center of African Studies, University of Edinburgh, 1970, pp. 121–37.

¹² See Public Records Office (P.R.O.), F.O. 2/65, F.O. to Johnston, 19 April 1894, enclosing approved regulations on the prevention of coffee leaf disease.

largely controlled by the responsible settler association.¹³ When controls subsequently became superfluous for some of the crops, the colonial administration did not insist on keeping them in force.¹⁴ As will become apparent, there was no similar measure of collaboration and co-operation between the administration, the settlers and the Africans in the regulation of the peasant economic crops.

Control of Peasant Economic Crops Before The Inter-War Economic Crises

Statutory interference in the production and marketing of peasant produced commodities began within the first decade of the 20th century. The flow of legislation was constant thereafter. For the purposes of analysis, however, several overlapping phases can be discerned. In the first phase, before the economic crises of the period between the two world wars, legislation was buttressed by unbridled paternalism common to British Colonial Administrations of this period in Africa. The 'native', according to the Nyasaland administration, was not *sui juris* under the law. 'His understanding was too immature to justify. . . extending to him the same full freedom of contract' enjoyed by the settlers. The administration had to act like a guardian and interpose on his behalf if the circumstances called for it.¹⁵

In the export commodity sector, the administration interposed with the Cotton Ordinance of 1910 to restrain unlicensed intermediate purchasers from offering high cotton prices and raising the income of the peasant producers. Producer incomes had to be maintained at a low level in order to discourage African labourers on settler estates from turning to independent agricultural production. According to the Director of Agriculture,¹⁶ the obtaining price of one penny per pound of seed cotton meant, with careful cultivation, a remittance of about half the amount required for hut tax, and earnings ranging from 18 shillings to 23 shillings per acre. This, as most settlers also thought, was 'considerable wealth to a native in Nyasaland' which could keep him away from the estates. To render this implied impoverishment of the cotton growers less unacceptable to the critics of the administration, the Director claimed that 'the native does not understand market fluctuations' and high prices which could not be maintained were undesirable.

Similar pronouncements were also made with regard to food production. In 1912, following widespread famine, the colonial administration passed an ordinance which empowered the Governor to restrict trading in maize and other native foodstuffs.¹⁷ The aim of the ordinance was not to curtail ordinary African trade in foodstuffs, but

¹³ See the Tea Ordinance No. 31 of 1934 and Nyasaland Protectorate, *LEGCO Proceedings*, (Government Printer, Zomba), 50th Session, 20 October 1934, pp. 11–12; The Flue-cured Tobacco Ordinance No. 10 of 1936 and *LEGCO Proceedings*, 51st Session, 21 April 1935; and The Tung Ordinance No. 11 of 1946 and *LEGCO Proceedings*, 61st Session, 19 February 1946, pp. 54–8.

¹⁴ See, for example, the Tea (Repeal) Ordinance No. 5 of 1949 and *LEGCO Proceedings*, 64th Session, 28 February 1949, pp. 19–21.

¹⁵ *LEGCO Proceedings*, 6th Session, 12–18 November 1910, p. 9, c.f. E. A. Brett, *Colonialism and Underdevelopment in East Africa*, (Heinemann, London, 1973), p. 41, and D. Rimmer, 'The Economic Imprint of Colonialism and Domestic Food Supplies in British Tropical Africa' in R. Rotberg (ed.), *Imperialism, Colonialism and Hunger in East and Central Africa*, (Lexington Books, 1983) pp. 146–47.

¹⁶ Nyasaland Protectorate, *Department of Agriculture, Annual Report*, 1909–10, (Government Printer, Zomba), p. 5. For the development of peasant cotton production see P. T. Terry, 'The Rise of the African Cotton Industry in Nyasaland, 1902 to 1908', *The Nyasaland Journal*, XV, 1 (1962) pp. 58–71.

¹⁷ The Native Foodstuffs Ordinance No. 12 of 1912.

to prevent settlers and other bulk purchasers from 'cornering native foodstuffs or purchasing them wholesale for resale or export'.¹⁸ Some government spokesmen nevertheless suggested that the measure was also necessary because of African improvidence. They claimed that Africans were likely to impoverish themselves by selling their food crops to the settlers in return for quick cash, and the government, being *in loco parentis* to them, was bound to ensure that this did not happen.¹⁹

The paternalism of this period led to the formulation of simple legislation which gave the administrators blanket powers to impose, from time to time, any set of appropriate rules or regulations. This form of drafting was opposed by the settlers who claimed that their representatives in LEGCO were thereby precluded from reviewing in advance measures which could affect settler enterprises. The problem for the administrators was that they could not predict the set of controls which were likely to be appropriate for a future exigency. Moreover, they regarded the selection of a particular set of controls as an administrative matter which should not be open to debate or challenge in LEGCO or courts of law. This attitude brought the settlers and the administrators into conflict in spite of the fact that a statute like the Cotton Ordinance of 1910 had the incidental effect of promoting settler interests by preserving their labour supply.²⁰

From the results of the legislation passed during this early phase, it can be concluded that colonial paternalism was as misguided and unwarranted in Nyasaland as it was in other African dependencies.²¹ The Cotton Ordinance and the rules promulgated under it failed to stabilize producer prices and income or to curb the activities of middlemen. When a new set of rules were under consideration after the first world war, it was reported that even licensed buyers were forming 'rings' within established markets and colluding to offer unremunerative prices to growers. Indian traders called Banyans were singled out for this and other market malpractices which included enticing growers to particular stalls with various gifts; bribing chiefs and headmen who could influence villagers to sell cotton to particular buyers; and advancing money to growers in return for an exclusive right to purchase the crop after harvest.²²

Legislation was similarly ineffective in the food sector. The Native Foodstuffs Ordinance does not appear to have contributed to the end of the food shortages. It has been suggested, on the contrary, that the restrictions on trading may have exacerbated the famine by hindering free movement of foodstuffs from the unaffected to the affected areas.²³ An additional negative usage was found for the ordinance after the first world war. The law was amended to enable the government to circumvent normal trading arrangements and to use the restrictions for the purpose of obtaining

¹⁸ Haythorne Reed J. in *Rex v. Amisi and Others* (1927–33) III Ny. L.R. 8.

¹⁹ *LEGCO Proceedings*, 9th Session, 14 May 1912, p. 8.

²⁰ See, for example, *LEGCO Proceedings*, 5th Session, 12–18 November 1910, pp. 10–11.

²¹ See, for example, C. Ehrlich, 'Some Social and Economic Implications of Paternalism in Uganda', *Journal of African History*, IV (1963) pp. 275–85.

²² Malawi National Archives (M.N.A.), File S1/225/50, Folio 2, Memorandum by the Director of Agriculture on Revision of procedures as to prices and Markets of Native Cotton, 10 April 1920; and, generally, *Department of Agriculture, Annual Reports*, 1914–1919, and 1920 p. 6.

²³ Megan Vaughan, *Social and Economic Change in Southern Malawi*, (Ph.D. Thesis, University of London, 1981), pp. 182–83.

foodstuffs at very low prices.²⁴ The Chief Secretary announced in LEGCO that the government was engaged in a public works programme requiring large supplies of African labour and food to feed them. It could not, however, match prices offered by estate holders who were vying for the same foodstuffs for their labourers. The conventional wisdom of the era also suggested:

'to allow the high maize prices to continue was not in the interests of the country as the native did not understand the reason for market fluctuations, and once taught to expect these high prices and finding that he could not obtain them for his maize he would quickly reduce his acreage and use his surplus for making beer. . .'²⁵

On this occasion, even the colonialist Chamber of Agriculture commerce was compelled to speak out for the peasants while pleading the case for the settlers. It described the new measure as 'an unwarranted interference with the right of the native to sell his produce in the best possible market'. It was also argued that considering the rate of inflation, the possibility of increased taxation, and the need for stimulating increased maize production, the native producer was entitled to 'reap the full benefit of a free and unrestricted market'.²⁶ But the administration rejected the argument and pushed the law through LEGCO, in the teeth of settler opposition, with the aid of the Governor's casting vote and the inbuilt official majority in the chamber. This eventually became a favoured procedure whenever the interests of the settlers and the administration in the colonial agricultural economy were irreconcilable.

*Control of Export Crops During the Inter-war Period*²⁷

The second discernible phase in the evolution of legislation for peasant produced commodities was the inter-war period. The number of peasants involved in the production of export commodities increased after the first-world war. This was one factor behind the general transformation of the simple and paternalistic pre-war legislation into more complicated measures. The other important factor was the famous world-wide inter-war depression. But the interplay of these and other socio-economic factors did not necessarily lead to the adoption of uniform laws and strategies for the important export crops of the period, namely, cotton and tobacco.²⁸

²⁴ The Native Foodstuffs (Amendment) Ordinance No. 11 of 1920.

²⁵ *LEGCO Proceedings*, 22nd Session, 19 March 1920, pp. 8–9.

²⁶ *Ibid.* Appendix to the proceedings, also enclosing a *Report of the Select Committee of LEGCO on the Native Foodstuffs Ordinance*, 1920.

²⁷ This part of the essay has benefited from the work of Chanock, 'The Political Economy of Independent Agriculture in Colonial Malawi: The Great War to the Great Depression' *Journal of Social Science*, I (1972) pp. 113–129, and, more recently, McCracken, cited in note 7 above.

²⁸ Legislation passed for the food sector in this period was not particularly significant and need only be noted here in passing. In 1926, a Maize Export Ordinance introduced rules on grading and the export of maize from Nyasaland. In 1934, the Native Produce Ordinance attempted to outlaw the prevalent practice of offering trade or consumer goods in exchange for African food and other produce. In 1938, the Marketing of Native Produce Ordinance empowered the Governor to devise controls for 'any produce grown or produced by Africans', if this was likely to improve African agriculture. This was the first food and produce ordinance to refer to the improvement of food production. The methods of control envisaged were, however, familiar. Reliance was placed on the restriction of intermediate trading and control of market places. It is also notable that there was considerable overlap between this ordinance and the pre-war food legislation which remained in force.

The Cotton Sector

When the earlier paternalistic legislation failed to have any significant impact on the activities of middlemen and the fluctuation of producer prices, the law was amended to enable the Governor to confer upon the British Cotton Growing Association (B.C.G.A.) a sole licence for purchasing peasant cotton.²⁹ The Association agreed, in return, to remit half of its annual profits to the government. This arrangement was struck in 1923. It operated until 1931 when the B.C.G.A. sought its termination. The Association had by then incurred a net loss of about £42,000 after remitting to the government about £17,000 from profits earned during the few favourable trading years.³⁰ The agreement also failed to stabilize or regularize grower prices and incomes. During its currency, prices for peasant seed cotton continued to fluctuate, but in a general downward trend. Prices dropped in one severe season by as much as 50 per cent. Growers reacted by giving up cotton production and by 1933, shortfalls in hut tax collections could be detected in some of the cotton districts.³¹

The world wide depression obviously wrecked the financial calculations of the B.C.G.A. and the colonial administration. Some of the administrators nevertheless sought to apportion blame for the failure of this first experiment with monopoly marketing. In the absence from the market of Asian middlemen, the perennial scapegoats of the administrators, the Nyasaland peasant was blamed for his innate conservatism. Acting Governor Hall lamented that 'he was slow to react to changed conditions' and he was unlike other Africans in the East African dependencies. He instructed District Residents to exhort growers to double or treble production in order to maintain pre-depression levels of income. They were also instructed to refrain from discussing the key issues of prices and inaccessibility of markets in the propaganda effort.³²

After the failure of the first experiment with monopoly marketing, intermediaries were readmitted into the cotton sector. Their activities were, however, strictly regulated by a new Cotton Ordinance of 1934 which re-introduced restrictions on touting and the bribing of growers at bush markets. It further stipulated tougher conditions for the issue of intermediate buying licences, including the requirement that applicants should indicate the ginnery or market place where they proposed to conduct business.³³ In spite of the readmission of middlemen, the Governor retained the right to grant 'the sole right of purchase of crown land cotton' to any person, should it become desirable.³⁴ This was one aspect of the proposed law which prompted a commentator, writing under the pseudonym of *kaleromwe* in the settler

²⁹ Cotton (Amendment) Ordinance No. 8 of 1923, and M.N.A. S1/1381/23, Folio 3 enclosing a copy of the Nyasaland Government/B.C.G.A. agreement made on 3 May 1923.

³⁰ M.N.A. S1/1381/23, Folios 68 and 682, B.C.G.A. to Ag. Chief Secretary, 1 May 1932, enclosing a statement of losses during the currency of the agreement; and folios 24, 33A, 35, 43, and 51 for events leading to the termination of the agreement.

³¹ M.N.A. S1/965/30 and S1/411^C/33, Folio 42. 1930 was the year when prices dropped by as much as 50 per cent. See also Chanock, *op. cit.*, p. 124.

³² M.N.A. S1/411^C/33, Folio 39, Hall to Secretary of State, 27 June 1934, and Folio 42, enclosing circular No. 15 of 1934, dated 6 June 1934.

³³ S.14, and, generally, ss. 9–42 of Ordinance No. 16 of 1934.

³⁴ S.42.

media, to dub it 'the most mixed up Bill Nyasaland had ever been inflicted with'.³⁵ This was irrespective of the fact that the settlers had been assured that the Governor's right would not be exercised without the prior sanction of the Secretary of State, and that no part of the law would be used to hinder 'the tenant growing of cotton on private estates, or the purchase of crown land cotton by the owner of an estate if he should wish to supplement his tenant grown cotton'.³⁶

The bulk of the Cotton Ordinance of 1934 also courted the unfavourable response it received from the settler media. It contained 77 provisions which, apart from the regulation of intermediate marketing, purported to regulate or licence seed distribution and cotton cultivation, bailing, ginning and the export of lint. The law affected, for the first time, the later stages of marketing which did not involve direct peasant participation and were traditionally regarded as the province for private capital and unregulated commercial enterprise. In addition to the numerous rules already embodied in the ordinance, section 76 stipulated that the Governor could make other rules for, among other things, 'regulating and controlling the method, time and place of growing and harvesting cotton'. This attracted a caustic and derisive, but fair, comment from *kaleromwe*. He wrote:

'I trust that his excellency will not be so ill-advised as to bring in this rule. We do not need another episode of King Canute and his wise counsellors. Of course our agricultural officers may have acquired enough information in the last few years, to say when its going to rain and that the sun will shine on a certain date'.³⁷

Although the 1934 Cotton Ordinance aroused so much controversy at its introduction, it had no significant impact on cotton production and marketing trends during the remaining few years of the inter-war period. For our purposes, this period is most notable for the experiences of the B.C.G.A. in the cotton market. At an early stage in the evolution of marketing legislation in Nyasaland, doubt was cast on the efficiency of monopoly marketing as an alternative strategy to fairly open intermediate trading during a period of worsening economic crises.

The Tobacco Sector

Legislation for the African tobacco sector was conceived and imposed for the first time during the inter-war period. This was at the instigation of settlers like A. F. Barron and W. Wallace who had been directly responsible for encouraging peasants in central Malawi, the major producing region, to grow the crop on a commercial scale. Between 1920 and 1925 a production system had developed whereby entrepreneurs like Barron distributed seeds from their nurseries to tenant growers on their farms and to other peasants in surrounding villages, supervised the production and curing, and purchased the resulting crop for resale at a profit in the commercial centres.³⁸ This system appealed to the tenants and the peasants because they had

³⁵ M.N.A. S1/91/34, Folio 61, and *Nyasaland Times*, Friday, 8 June 1934.

³⁶ *Ibid.*, Folio 95; and *LEGCO Proceedings*, 49th session, 5 April 1934, p. 32.

³⁷ M.N.A. S1/93/34, Folio 61.

³⁸ For a detailed description of the development of the African tobacco industry see W. H. Rangeley, 'A Brief History of the Tobacco Industry in Nyasaland', *The Nyasaland Journal*, X, 1 (1957), pp. 32–51; X, 2 (1957), pp. 32–51; and XI, 2 (1958), pp. 24–7.

apparently been 'longing for an opportunity of earning money without having to work for somebody else'³⁹ for a fixed and meagre salary. When the quantities of tobacco produced in this way rose sharply between 1923 and 1925,⁴⁰ complaints not entirely dissimilar to those which had led to the promulgation of the Cotton Ordinance in 1910 surfaced. Endorsing the principal arguments for a controlled peasant tobacco sector, Governor Bowring wrote:

'... If the native tobacco industry is to be placed on a sound and lasting footing. . . it is most undesirable that prices should be unduly inflated by the speculation of irresponsible buyers. Such speculation has unfortunately taken place both in regard to native cotton and tobacco.'⁴¹

As for the nature of the controls, the administration rejected Barron's suggestion that he should be given an exclusive purchasing licence of the type granted to the B.C.G.A. in the cotton sector. It opted for a fairly competitive system under which vetted settlers could obtain licences for purchasing African tobacco within licensed premises or markets. This system was introduced under the Tobacco Ordinance of 1926 which also required the registration of tenants and peasant growers and, in the main part,⁴² created a Native Tobacco Board (N.T.B.). The main function of this Board was to take over the task of 'supervising and assisting native tobacco growers' from entrepreneurs like Barron. Unlike the B.C.G.A., the N.T.B. was not empowered to undertake intervention duties on behalf of the government, but it was to derive its funds from a cess levied on tobacco purchased by the licensed buyers.

Settler demands for the regulation of the peasant tobacco sector were not entirely motivated by the need to curb the activities of middlemen. As in the cotton sector, some feared that profitable peasant production could reduce the reservoir of cheap African labour for the estates. To some this also portended the decline of the settler tobacco industry which was under increasing competition from the African sector. The Nyasaland administration was not, on the surface, moved by such concerns.⁴³ Yet, the fact that independent peasant tobacco production was not encouraged in the southern province where most settler estates were located suggested otherwise. Moreover, as McCracken has eloquently described, the administration subsequently tolerated the Native Tobacco Board to operate as if it had been constituted for the preservation and promotion of settler tobacco interests.⁴⁴

To begin with, the administration did not ensure that the growers were properly and directly represented on the Board. The settlers, on the other hand, were directly represented by Messrs. Barron and Tait-Bowie, and the fact that the personal interests of these men in the production of dark fire-cured tobacco could have conflicted or competed with the promotion of the peasant industry, the main function of the Board, was ignored. As a result, at the instigation of Barron, the Board

³⁹ M.N.A. S1/1879/24, and Chanock, *op. cit.*, pp. 119–20.

⁴⁰ In Dowa and Lilongwe Districts, crown land tobacco output apparently grew from 25 tons in the 1923–24 season to approximately 880 tons in the 1925–26 season. See M.N.A. S1/2461/23, and *c.f.* McCracken *op. cit.*, p. 175.

⁴¹ M.N.A. S1/1879/24, Folio 43, Bowring to Secretary of State, 21 October 1925.

⁴² Part I of Ordinance No. 5 of 1926.

⁴³ M.N.A. S1/1879/24; Folio 55, Ag. Governor Rankine to Secretary of State, 20 February 1926; and File S1/2461/23.

⁴⁴ McCracken *Passim*.

recommended and caused the passage of legislation which restricted access to tobacco marketing facilities and to registration as a peasant tobacco grower.⁴⁵ This was done under the pretext of ensuring the best possible quality of peasant tobacco. It is significant, however, that greater concern with the quality of African tobacco was expressed at a time when flue-cured tobacco from Nyasaland was not selling very well on London markets, and some settlers were switching to tenant production of dark fire-cured tobacco.⁴⁶ Settler output in this direction could only be accommodated if the number of peasant producers was stemmed.

In blessing the restrictive policies of the Board, Governor Thomas chose to highlight dubious moral advantages to be gained from disciplining the native. In a despatch to the colonial office, he remarked:

'... we desire that he should become a hard-working, thrifty, and reliable member of society: we spend large sums on his education, literacy, technical or agricultural, but we subject him to little or no discipline. We speak of him as a child, but through ignorance or indolence when he acts contrary to his best interests we merely express regret. A sharp lesson now and then can do nothing but good'.⁴⁷

When this argument received qualified endorsement from Lord Passifield,⁴⁸ the Board and administration were encouraged to adopt even more repressive measures. In 1936, again at the instigation of Barron, rules were published authorising specified persons to destroy tobacco plants in peasant gardens which were deemed excessively large.⁴⁹ This time, however, the Colonial Office criticized the excessiveness of the rules and they were subsequently repealed.⁵⁰

A combination of restrictive Board policies and falling prices during the depression eventually led to peasant protest and mini-riots at tobacco markets in 1937.⁵¹ This galvanized the administration into adopting a new marketing strategy involving the declaration of minimum prices before the marketing season, intervention by the Board in the purchase of peasant tobacco, and resale of the crop to exporters at public auctions.⁵² The new system required expenditure on a marketing infrastructure and a bureaucracy, and the Board attempted to meet this expenditure by depressing grower prices and maximizing on resale profits.⁵³ This was not a prudent policy especially when grower prices and incomes had not yet recovered from the effects of the world-wide depression. After two seasons of bumper harvests and unremunerative prices, some growers rioted again in 1939 and abandoned tobacco production. An official enquiry this time produced a report which acknowledged that the Board was

⁴⁵ Tobacco (Amendment) Ordinance No. 22 of 1928, No. 19 of 1929, No. 8 of 1930 and No. 7 of 1931.

⁴⁶ M.N.A. S1/318^I/34, Folio 103, and Rangeley *op. cit.*, pp. 32–6.

⁴⁷ M.N.A. S1/464/30, Folio 62, Thomas to Secretary of State, despatch No. 510, 6 December 1930, p. 12.

⁴⁸ *Ibid.*, despatch No. 32, Lord Passifield to Thomas, 27 January 1932.

⁴⁹ Tobacco (uprooting) Rules 1936, G.N. 3/1935.

⁵⁰ M.N.A. S1/437/34, Secretary of State to Kittermaster, 22 May 1936.

⁵¹ Rangeley, *op. cit.*, pp. 40–1, prices had apparently fallen from an average of 3.2d per pound in 1931 to 1.75d in 1937.

⁵² Tobacco Ordinance No. 17 of 1937 and Tobacco Rules, G.N. 88 of 1937. See also M.N.A. S1/318^I/34, Folio 73; S1/318^{III}/34, Folios 132 and 134, and despatch No. 384, Ag. Governor Hall to C.O., 4 September 1937.

⁵³ Rangeley *op. cit.*, pp. 42–3 and McCracken *op. cit.*, pp. 182–3.

overmanned and its profit margins were unrealistic.⁵⁴ The report recommended drastic cuts in Board manpower and expenditure, but the second world war intervened, and the re-examination of the peasant tobacco marketing system was shelved.

At the end of the inter-war period, therefore, the strategy for the marketing of peasant tobacco had evolved from a fairly competitive system to public intervention under the quasi-monopoly of the N.T.B. This was the opposite of the path followed in the cotton sector where the B.C.G.A.'s monopoly was dismantled in favour of competitive intermediate purchasing. The differences in the results of the varying strategies were, however, not so substantial in one respect. Legal regulations in both sectors failed to provide satisfactory solutions to marketing problems caused by the world depression and worsened by lopsided settler and government attitudes and policies.

Post-war Developments

The third phase in the evolution of legislation for the production and marketing of peasant produced economic crops coincided with the outbreak of the second world war and overlapped with the post-colonial period. The outbreak of the war obviously interrupted normal marketing channels. Commodities like cotton were essential for the war effort and special 'bulk-purchasing' arrangements were instituted to facilitate its acquisition.⁵⁵ War-time arrangements of this nature apparently proved convenient to the British colonial state in most parts of Africa,⁵⁶ and the administrators proceeded to adapt them for peace-time trading. This adaptation or reorganization of commodity marketing channels was one issue which dominated post-war legislation in Nyasaland. The other issues can be summarised as 'amalgamation' and 'politicization' of the commodity Boards.

In the process of reorganization, corporate personality was conferred upon the post-war marketing Boards which did not have such a status.⁵⁷ As body corporates, the Boards were entitled to most of the attributes of full legal personality like a common seal, perpetual succession, capacity to sue and be sued and to hold property, and, generally, an existence separate from that of persons appointed as Board members. The appointees also included, for the first time, a minority of fairly successful Africans who were to act as token representatives of the peasant growers.⁵⁸

⁵⁴ *Ibid.* and M.N.A. S1/275/39.

⁵⁵ R. W. Kettlewell, 'Agricultural Change in Nyasaland, 1945–1960', *Food Research Institute Studies of Tropical Food and Agriculture*, 5, 3 (1965), p. 272. Cotton in Nyasaland was purchased from the peasants by or on behalf of the Government and resold to the Raw Cotton Commission.

⁵⁶ W. O. Jones, 'Agricultural Trade with Tropical Africa: Historical Background', in R. H. Bates and M. Lofchie (eds) *Agricultural Development in Africa*, (Praeger Publishers, New York, 1980) p. 26.

⁵⁷ This applied to all Marketing Boards except the N.T.B. which became a body corporate under the Tobacco Ordinance No. 17 of 1937. Marketing Boards for cotton, maize and food produce were transformed in the manner described in the paragraph under the following legislation: Cotton Ordinance No. 29 of 1951; the Maize Control Ordinance No. 3 of 1946; and the Produce Marketing Ordinance No. 34 of 1952.

⁵⁸ Under The Tobacco Ordinance No. 10 of 1946, for example, there were about 66,000 peasant growers who were to be represented by 4 Africans sitting on a Board of 9 members. See *LEGCO Proceedings*, 61st Session, p. 32. The following were appointed as the first African Board Members under G.N. 56/1946: Chief Mwase, E. Gomiwa, Justin Somanje and Ephraim Nkwepu.

The body corporates were also invariably mandated to accumulate profits from their intervention activities. This, of course, entailed the restriction or elimination of competitive intermediate purchasing. In most sectors it became an offence for any authorised dealer to purchase or sell peasant crops at prices other than those authorised by the Board or the Director of Agriculture. It was repeatedly claimed that profits accumulated from this intervention strategy would support grower Price Assistance Funds but, needless to say, they were diverted for other purposes. Apart from Government coffers, some of the profits went to the Native Development and Welfare fund, a fund created in 1944 to support various developmental activities.⁵⁹

Although most of the post-war marketing Boards were eventually reformed in the manner described, this was not the fruition of a carefully laid strategem. There was a lot of vacillation before the structures described emerged by 1952. In the tobacco sector, for example, the administration toyed with the idea of competitive intermediate purchasing for a while, and the Tobacco Ordinance of 1946 relaxed the pre-war monopoly of the N.T.B.⁶⁰ The back drop then was one of rising prices for both flue-cured and dark fire-cured tobacco.⁶¹ This may have lulled the administration into making concessions to settler demands for a less controlled peasant tobacco sector. But this liberalism was short-lived. The monopoly of the N.T.B. and the various production and marketing controls were re-imposed by 1948.⁶² The *volte-face*, it was claimed, was necessary in order to rectify 'the very serious dislocation which had occurred in [the] internal economy [because of] the disproportionately high level of tobacco prices as compared with other commodity prices'.⁶³ This argument was partly faulted by the fact that inflation had kept apace with the rise in tobacco prices,⁶⁴ and this crop was more expensive and difficult to produce. A more plausible explanation was the continued existence of the N.T.B. It would have collapsed into bankruptcy without a purchasing monopoly, and the administration was by now convinced of its usefulness as a revenue generator.

There was also a more enduring and significant departure from the general post-war patterns of reform in the food sector. The Maize Control Ordinance of 1946, the first post-war measure of the sector, was an over ambitious piece of legislation. It established a corporate Maize Control Board and bestowed it with enormous powers of control over internal and external maize marketing. It decreed that all maize held by African or European Producers in excess of personal requirements should not be 'sold, destroyed, moved or disposed of or otherwise

⁵⁹ The Native Development and Welfare Act No. 14 of 1944; and *LEGCO Proceedings*, 59th Session, 14 October 1944 pp. 14–16.

⁶⁰ See Ordinance No. 10 of 1946 and *LEGCO Proceedings*, 61st Session, 19 February 1946, p. 33.

⁶¹ Rangeley, *op. cit.*, p. 44. Average prices in 1945 were 5s.09d per lb. for fire-cured tobacco and 12s.03d for flue-cured tobacco. The respective prices for 1946 were 14s.06d and 22s.04d per lb.

⁶² Tobacco (Amendment) Ordinances, Nos. 31 of 1947 and 32 of 1948.

⁶³ *LEGCO Proceedings*, 64th Session, 16 December 1948, pp. 27–8. McCracken *op. cit.*, p. 189 also suggests that change of personnel in the colonial administration facilitated the change of policy. Administrators who did not believe in the efficacy of statutory controls were replaced by advocates of this strategy like R. W. Kettlewell, who eventually served as Director of Agriculture until towards the end of colonial rule.

⁶⁴ Rangeley *op. cit.*, p. 44 notes, for example, that the post-war cost of a fowl had risen from 3d or 6d to 2s.6d. The price for a goat rose from between 3s.6d and 7s to 35s. The price for an ox rose from between £3 and £6 to £15.

dealt with in any manner' except in accordance with the directions of the Board.⁶⁵ Since maize could be grown or produced in virtually every part of the protectorate, the task of the Board was bound to be very onerous, and the objectives of the legislation were unattainable at that time through one organization. To cover the cost of maintaining a country-wide network, the Board fixed a very low buying price and doubled the selling price. Growers reacted by withholding their surpluses from the Board, and it became the object of the hostility of both growers and consumers when the quantities of maize available for the internal market dropped significantly by 1948.⁶⁶

The self-induced problems of the first two operational years of the Board were followed by the failure of rains and the infamous Nyasaland famine of 1949.⁶⁷ The administration then conceded the folly of attempting to centralize all maize marketing and passed an ordinance which authorised the Board to purchase only such maize as could be obtained from the peasant growers after taking into account their food requirements.⁶⁸ The internal market was also re-opened to African traders and intermediaries, but the Board retained exclusive control over the import and export trade. When world prices fell to unprofitable levels in the 1950s, the Board abandoned the import and export trade, the food production policy was reversed, and the administration began to discourage maize production in areas deemed agronomically unsuitable.⁶⁹ By 1960, statutory intervention in maize marketing was confined to the purchasing of sufficient maize for use by government departments and for the maintenance of a small food reserve. The deregulation of maize marketing was also belatedly extended to other types of food produce in 1959.⁷⁰

When the liberalization of maize marketing was proposed after the 1949 famine, one outstanding issue was the relevance of a separate Maize Control Board with its expansive distribution network. In the words of one critic, it was unnecessary for the country to be 'burdened by the Maize Control Board in perpetual succession like an old man of the sea clinging round its neck'.⁷¹ The response of the administration was to propose the amalgamation of some of the commodity Boards. This process began with the passage of the Produce Marketing Ordinance of 1952 under which diverse legislation on the marketing of maize and other foodstuffs was integrated. A new 'Produce Board' was created and entrusted with control over the marketing of 'African produce' including 'maize, maize flour, beans, peas, wheat, groundnuts, rice and paddy, sorghums, millets, cassava and cotton seed'.⁷²

⁶⁵ S.6 of Ordinance No. 34 of 1946.

⁶⁶ According Governor Colby, *LEGCO Proceedings*, 54th Session, 29 November 1948, p.3, 'the amounts of maize. . . available to large consumers dropped from 8,300 tons to approximately 6,000 tons. . . and the allocation to consumers in the Southern Province had to be reduced from 50% of the requirements to 20%'.

⁶⁷ For a detailed account of this calamity see M. Vaughan, 'Poverty and Famine: 1949 in Nyasaland', Paper presented at the Social Science Conference, Chancellor College, July 1982.

⁶⁸ The Maize Ordinance, No. 12 of 1949, and Hon. C. B. Barnett, *LEGCO Proceedings*, 64th Session, 10 June 1949, p. 15.

⁶⁹ For developments on Maize Marketing policy after 1949 see Kettlewell *op. cit.*, pp. 259–60.

⁷⁰ The Produce Marketing Ordinance No. 15 of 1959, and R. W. Kettlewell, *LEGCO Proceedings*, 74th Session 14 December 1959, p. 200.

⁷¹ The Bishop of Nyasaland, *LEGCO Proceedings*, 64th Session, 10 June, 1949, p. 15.

⁷² Ss.2–3 of Ordinance No. 34 of 1952.

The amalgamation process progressed further in 1955 with the transfer of the assets and liabilities, powers and duties, of the Cotton, Tobacco and Produce Boards to the Agricultural Production and Marketing Board (A.P.M.B.).⁷³ This move was apparently intended to achieve economies of effort and expense, and efficiency, through 'one Board, with appropriate committees, one buying organization, one headquarters and one stores organization for all African Produce whether cotton, tobacco or other crops'.⁷⁴ On economy of effort, it was observed that the Director of Agriculture could be spared a lot of effort and time by reducing the number of Board meetings he had to chair. Economies of expense and efficiency were more distant goals, to be achieved after the amalgamated Board had reviewed its managerial and structural requirements. The success of the whole policy depended on the attainment of this second set of goals. As observed by one commentator, a simple federation of three Boards had superficial attractions, but it did not necessarily entail efficiency. It could in fact lead to more red tape and lesser concentration on the details which specialized marketing managers could not overlook.⁷⁵

Reports showing the extent to which the A.P.M.B. streamlined its organization in order to attain efficient amalgamation are not available. Remarks made in LEGCO however suggested that it proceeded to follow the operational policy of its predecessors. Under the usual guise of maintaining a grower Price Assistance Fund, it accumulated expensive capital assets and large funds which disappeared into government coffers. The funds were also sometimes dissipated on ventures which remotely benefited the peasant growers like the provision of scholarships for students studying at the University College of Rhodesia and Nyasaland.⁷⁶ Such schemes were laudable, but only so long as producer prices were not unremunerative or pegged for below the rising cost of living. It would appear that Board prices were so unsatisfactory that even settler representatives in LEGCO made repeated calls for the revision of the pricing policy.⁷⁷

Some of the criticisms made in LEGCO and outside it on the operations of the A.P.M.B. did not pass unheeded. The progressive liberalization of the food and produce sector in the 1950s was partly an attempt to placate the erstwhile critics of the Board within the settler community. The administration however refused to extend this spirit to the lucrative tobacco and cotton sectors. The Board clung to its monopoly and rejected pleas for better prices for these crops. In a decade when African political consciousness was heightened by factors like the administration's coercive approach to agricultural extensions, in which the Board was involved, and the general mobilization of the masses in the quest for independence, it was

⁷³ Agricultural Production and Marketing Ordinance, No. 11 of 1955; Cotton (Amendment) Ordinance, No. 6 of 1955; and Tobacco (Amendment) Ordinance No. 7 of 1955.

⁷⁴ Paragraph 40 of the Bucquet Report of July 1952, as quoted by Hon. E. Williams, *LEGCO Proceedings*, 69th Session, p. 16.

⁷⁵ Hon. H. M. Blackwood, *LEGCO Proceedings*, 69th Session, p. 16.

⁷⁶ The Agricultural Production and Marketing (Amendment) Ordinance, No. 6 of 1958.

⁷⁷ For general criticisms of the policies pursued by the A.P.M.B., see *LEGCO Proceedings*, 69th Session, 2 May 1955, pp. 13–20; 74th Session, 6–10 June 1959 and 16 December 1959, pp. 3, 129–39, 141–3, 176–7 and 200–1. According to Governor Armitage in 1959, the A.P.M.B. accumulated funds and assets amounting to £1,800,000.

inevitable that the political dimensions of the crop marketing debate would get pronounced. African politicians began to agitate for increased political control of the A.P.M.B. and grower participation in its decision making processes.⁷⁸

When the African politicians assumed some executive and legislative powers, however, not all the causes of 'African hostility' to the A.P.M.B. were assuaged by legal reforms under the Farmers Marketing Ordinance of 1962.⁷⁹ It was claimed that closer association between the Board and the farmers could be achieved by replacing European Board members with the representatives of the growers. Hostility to the purchasing monopoly of the Board could be neutralized by permitting co-operative societies to market produce, cotton and tobacco, 'not in their own right but as agents of the Board or on commission', and by allowing African businessmen with trucks 'to share in the business of the Board by acting as transporters and carriers of the produce'. This was believed to be the best way of bringing 'African farmers, African traders and co-operative societies to live in peace, if not as friends, at least as co-existors in a state of cold war'.⁸⁰ This strategy unfortunately offered no answer to the primary cause of hostility to the A.P.M.B. or any of its predecessors, namely, the low producer prices. It was a strategy which appealed to and appeased the conspicuously vocal and politicized African intermediaries and entrepreneurs, but not the growers.

Some of the actual changes in the law were also more symbolic than significant, for example, the renaming of the Board as the Farmers Marketing Board (F.M.B.). The more significant reforms included an expansion of the powers and duties of the Board to cover the appointment of buying agents, the establishment and management of seed farms, and the provision and distribution of inputs like fertilizer at subsidized costs.⁸¹ The Board was also enjoined to be strictly accountable for services rendered to it by the Department of Agriculture, and for any sums disbursed from public funds in the discharge of its principal duties.⁸² On the whole, apart from such symbolic and significant reforms, and the change in the political complexion of the Board,⁸³ the Farmers Marketing Ordinance perpetuated established policies on the marketing of peasant produced economic crops. It was still necessary, for example, for the Board to resell peasant crops at a profit, or at a price higher than that paid to growers, in

⁷⁸ The demands of the African politicians were summarised in a speech made by Dr. Banda when moving a Bill to amend the A.P.M.B. in 1962. See *LEGCO Proceedings*, 3rd meeting, 76th Session, 6–7 June 1962, p. 155.

⁷⁹ Ordinance No. 4 of 1962. This was just one of several statutes which African political representatives pushed through LEGCO after winning the 1961 general elections in order to redress particularly felt African grievances in the colonial agricultural economy. Other statutes of the same period attempted to abolish *Thangata* and the coercive approach to agricultural extensions.

⁸⁰ *LEGCO Proceedings*, 76th Session, p. 157. It should be noted that the co-operative societies subsequently played a very insignificant part in the marketing of peasant produce. Most of the societies were in fact dissolved by the end of the colonial era. See Kettlewell *op. cit.*, p. 249.

⁸¹ S.6 of No. 4 of 1962.

⁸² S.10. This, presumably, was one way of dissolving the 'unholy marriage' between the Board on an agricultural department which was tainted by its coercive approach to agricultural extensions. See note 78 above.

⁸³ F.M.B. *Annual Reports* for the years 1964–1970 show that the composition of the Board henceforth included at least 3 or more African Members of Parliament.

order to accumulate revenue for the Price Assistance Fund, the running of an expanded bureaucracy and various other activities.⁸⁴

From 1963, the activities of the F.M.B. included participation in business ventures through the provision of capital or loans.⁸⁵ This was a new dimension to crop marketing which was likely to make further inroads into the actual or potential income of peasant farmers. It also foreshadowed the end of 'progressive liberalization' in food and produce marketing and the re-imposition of the Board's monopoly. If sufficient funds for re-investment in business ventures were to be accumulated, it was now doubly necessary that settler or African intermediaries should not be allowed to compete with the F.M.B. in the marketing of all African food or cash crops. This was one of the aims of the Agricultural and Livestock Marketing Ordinance of 1963 which also attempted to complete the consolidation, under one statute, of the various laws on the marketing of African economic crops, including cotton and tobacco.⁸⁶

In the second part of the 1963 ordinance, the promise of the colonial administration to restrict food sector controls to a few crops in selected areas was abandoned by the African dominated government. The Minister was empowered to, and he subsequently imposed, regulations affecting virtually every food crop produced in significant quantities for sale and/or consumption by Africans in any district of the country.⁸⁷ It was envisaged that production and marketing would be controlled through the issue of licences to growers and intermediaries, and part V of the Ordinance gave the responsible Minister an unlimited amount of discretion to exercise in the administration of the licences. He was, among other things, entitled to constitute a licensing authority, but he could also order the issue or revocation of a licence at his discretion, even in disregard of the decision of the licensing authority, and his decision was final.

The 1963 ordinance reinforced its various requirements with a very strict penal regime. One observer noted that it created a total of 28 offences. The general penalty for most of the offences was a fine of £500 and imprisonment for one year. This was higher than most of the penalties imposed under previous legislation. Through this stricter penal regime, the government signalled that it intended to stamp out and prevent the recurrence of illegal trading in African economic crops. But this created several paradoxes. Throughout the colonial period, breaches of the monopoly of crop marketing Boards were especially prevalent when the buoyancy of world commodity prices was not reflected in local producer prices. The stricter penal regime was therefore unlikely to please peasant growers who were always searching for markets where they could obtain better prices for their produce. The penalties were also likely to be visited upon the emerging African intermediaries the

⁸⁴ S.6(3).

⁸⁵ Farmers Marketing (Amendment) Ordinance, No. 30 of 1963.

⁸⁶ Part III of the Ordinance incorporated the law on the marketing of cotton. It reaffirmed the absolute monopoly of the F.M.B. over the purchasing of public or Trust land cotton. But the Board was not given a similar monopoly over peasant tobacco in Part III of the Ordinance. The Minister retained the power of authorising growers to sell their tobacco to someone else. This provision was presumably included in anticipation of increased participation in the tobacco trade by the co-operatives and African businessmen.

⁸⁷ G.N. 60/1963.

government was so anxious to please during the reconstitution of the A.P.M.B. in 1963. It was also paradoxical that an African dominated administration was resorting to criminal sanctions so soon after noting that the A.P.M.B. had incurred African hostility because of its 'unholy marriage' with a Department of Agriculture which was notorious for using criminal sanctions to force certain changes in peasant agrarian practices. It was finally paradoxical that it was a leading settler representative who reminded the African government of its pledge, and of the need, to move away from legislation of the nature in a new political era.⁸⁸

Post-colonial Trends

The attainment of independence in 1964 can be regarded as marking the beginning of the latest phase in the evolution of statutory law on commodity production and marketing. The flow of primary legislation has slackened considerably in this period, thus suggesting that the independent government would rather exercise control through subsidiary legislation and executive decisions. The notable legislation, moreover, has pursued and developed ideas and policies formulated towards the very end of colonial rule, especially the policy of surfeiting the executive arm of government with unbounded discretion in the management of the agricultural economy, and the policy of encouraging the sole crop marketing authority to participate in business ventures and other developmental activities.

The epitome of the post-colonial trend of surfeiting the executive with discretion was an amendment to the Special Crops Act passed in 1972. The Act made it illegal for any person 'to grow, sell, barter or buy' a special crop in a specified area without a valid licence issued by the Minister.⁸⁹ The amendment added:

'The Minister may, in his discretion, and without assigning any reasons therefor, refuse to issue a licence to any person, or revoke or suspend any licence that has been issued. Any decision of the Minister to refuse, revoke or suspend any licence shall be final and shall not be questioned in any court'.⁹⁰

It was admitted, with alarming candidness, that the aim of the amendment was 'to stop courts [probing] into reasons why the Minister has refused or revoked or suspended any licence'.⁹¹ Judicial review of executive conduct in Malawi is sometimes discouraged in a manner which borders on the unprecedented.⁹² Judicial interference in most of the issues concerning agrarian administration may indeed be unnecessary, but it is arguable that an obligation to indicate reasons reaching a particular executive decision augurs well for good government. It ensures orderliness, predictability, the accumulation of precedent, and the reduction of arbitrariness in decision making.

⁸⁸ Hon. H. M. Blackwood, *LEGCO Proceedings*, 10th meeting, 76th Session, 10–16 December 1963, p. 1032.

⁸⁹ S.6(1) of Cap. 65:01.

⁹⁰ S.6(3) as amended by Act No. 9 of 1972.

⁹¹ Malawi Government, *Hansard, Proceedings of Parliament*, (Government Printer, Zomba) 8th Session, 3rd Meeting, 29 February to 9 March 1972, p. 653.

⁹² For more examples on this post-colonial trait see C. H. S. Ng'ong'ola, *Statutory Law and Agrarian Change in Malawi*, (Ph.D. Thesis, University of London, 1983), Chapter VI.

Mistrust of the judiciary was not, however, at the pith of the most important post-colonial reform of marketing legislation. In 1971, the Farmers Marketing (Amendment) Act⁹³ was passed to effect changes to the name, structure, objectives and powers and duties of the F.M.B. The name changed to Agricultural Development and Marketing Corporation (ADMARC). The important structural changes included the replacement of a Board headed by a titular chairman with one headed by an executive chairman, and streamlining the composition to the chairman plus not less than four but not more than eight directors appointed by the Minister of Agriculture. The revised objectives of the Board included the following: to increase the volume and improve the quality of exportable economic crops; to improve the marketing of agricultural produce for export with a view to profitability; and to promote the consumption of such produce abroad. For the attainment of these and other objectives, the corporation was divided into three sections separately dealing with internal marketing, export trade and the management of development projects like farms, grain milling and seed production installations.⁹⁴ The corporation retained most of the powers and duties of the F.M.B., and was given a variety of new ones, of which the most notable was to assist any public or private organization with capital or credit or other resources in 'the prosecution of any. . . projects, schemes or enterprises relating to the development or improvement of the economy of Malawi'.⁹⁵

It should be recalled that state intervention in the marketing of peasant produced commodities was originally justified by the paternalistic assumption that the peasants could not comprehend world commodity price fluctuations and were gullible to exploitation by unscrupulous middlemen. This reasoning was no longer acceptable to an independent African government. In a budget address to parliament, the President said:

' . . . Today paternalism is. . . out of date, out of place. . . The purpose of the Board must no longer be confined to or even concerned with. . . the narrow limits of stabilizing prices of farm produce. . . but must be widened to include actual development. . . of agricultural resources in the country. . . Not only that, but even more, those concerned with "management" must be taught to think in terms of active managers of development and of a business concern which must develop our agricultural resources and make a profit at the same time'.⁹⁶

Inherent in this policy statement and the legislative changes was the primacy of development and profit-making over price stabilization. The paternalism of the colonial marketing boards was abandoned, but the statutory marketing monopoly over peasant or 'customary land' economic crops was retained with the specific aim of accumulating surpluses for transfer to business and other sectors of the economy.

The reconstitution of the F.M.B. took place during a favourable economic climate and ADMARC was able to fulfil its mandate. It accumulated substantial profits which were re-invested in a formidable chain of private companies and statutory

⁹³ No. 16 of 1971. For details of the changes summarised in this paragraph see ss.3–6 of ADMARC Act, Cap. 67:03; and ADMARC, *Ten Years of Progress* 10th Anniversary of Independence (Limbe, July 1974) pp. 7–9.

⁹⁴ Minister of Agriculture, *Hansard*, 7th Session, 9–16 March 1971, p. 1069.

⁹⁵ S.6(1) (0) of ADMARC Act.

⁹⁶ *Hansard*, 7th Session, 5th Meeting, 9–16 March 1971, p. 841.

corporations.⁹⁷ But when the economic climate deteriorated at the beginning of the 1980s decade,⁹⁸ the essential flaw of ADMARC's strategy was magnified. The accumulation of profits appeared to have been undertaken at the expense of the economic well-being of the peasant producers.⁹⁹ The primary beneficiaries of the strategy, as other commentators have observed, have been local elites and affluent Malawians holding shares in organizations sponsored by ADMARC's investment programme; an urban population which has been assured of subsidized agricultural commodities; the many employees engaged in ADMARC's burgeoning bureaucracy and other organs of state.¹⁰⁰

ADMARC's strategy of transferring agricultural resources from the peasants to the state and other sectors of the economy has been observed in many black African countries.¹⁰¹ The strategy in some of these countries is attended by corruption and abuse of office by employees of the agencies entrusted with marketing responsibilities.¹⁰² ADMARC has also been suffering from such bureaucratic ills. In 1977, for example, a long serving executive chairman was convicted for misusing corporation property and personnel in his private businesses. He was acquitted of a more serious charge of 'theft by public servant' because the missing amount (about MK400,000) was accounted for in unauthorised loans made by ADMARC to a private company in which the chairman and members of his family were principal shareholders and directors.¹⁰³

Corruption and/or general inefficiency of Board members in ADMARC and other statutory corporations, during a period of economic difficulties, may also be the explanation for the passage of law in 1980 which stipulated that they should hold office for a short, renewable period of two years.¹⁰⁴ There was also a general revamp of Board membership in all statutory bodies in 1982. Executive chairmen lost their

⁹⁷ ADMARC's crop trading account for the years 1966–77 in the *Annual Report and Statement of Account* for 1977 shows the accrual of substantial profits in all these years except 1967. By 1977 the overall profit from crop trading stood at K22,685,292. ADMARC had shares in 33 companies valued at K14,232,987. The value of its debentures and secured loans was K2,433,763, and the aggregate value of all its investments, secured or unsecured, was not less than K50,752,595.

⁹⁸ ADMARC's *Annual Report and Statement of Account* for 1980 showed a profit on crop trading of K69,663 and a net loss of K4,682,691. Total crop purchases were approximately 18 per cent below the previous year's mark. The report blamed this on unfavourable weather and no grant was remitted to the government. The situation improved in 1981 and 1982 with crop trading account profits of K326,441 and K8,862,926 respectively.

⁹⁹ This has been ably demonstrated by J. Kydd and R. Christiansen, 'Structural Change in Malawi since Independence: Consequences of a Development Strategy Based on Large-Scale Agriculture', *World Development* 10, 5 (1982) pp. 335–75. Other notable studies include C. P. Brown, 'The Malawi Farmers Marketing Board' *East African Economic Review* 2 (1970b) pp. 37–51, and S. Thomas, 'Economic Development in Malawi Since Independence', *Journal of Southern African Studies* 2, 1(1975), pp. 30–51.

¹⁰⁰ This is the general result of marketing strategies in post-colonial Sub-Saharan Africa according to R. Bates, *Markets and States in Tropical Africa*, (University of California Press, 1981).

¹⁰¹ For a recent analysis of a similar strategy in a neighbouring country see F. Ellis, 'Agricultural Marketing and Peasant-state Transfers in Tanzania', *Journal of Peasant Studies*, 10, 4 (1983), pp. 214–42.

¹⁰² Bates *op. cit.*, pp. 26–9.

¹⁰³ *Rep. v. Masiku*, Southern Region Traditional Court, Criminal Case No. 48 of 1977. For criminal prosecutions involving other ADMARC employees see, for example, *Rep. v. Zambia*, (1971–72) ALR Mal. 109, and *Rep. v. Zimba* (1971–72) ALR Mal. 409.

¹⁰⁴ Statute Law (Miscellaneous Amendments) Act, No. 8 of 1980.

managerial responsibilities and became titular chairmen.¹⁰⁵ In the case of ADMARC this suggested a return to the F.M.B. days when Board members were not overtly 'taught to think in terms of active managers of development' and of a profit making business concern. This however was not followed by a revision of ADMARC's business activities.¹⁰⁶ Personnel changes of this nature may not improve the fortunes of the peasant farmers if there is no reconsideration of ADMARC's conflicting roles as a primary marketing organization and a development finance corporation. Similarly, the upward adjustment of grower prices which is periodically undertaken only manages to alleviate market tensions for a short period, but the fundamental conflict and flaws of the strategy remain.

Summary and Conclusions

It is generally agreed that the evolution of controls for the marketing of economic crops in British colonial Africa followed a familiar pattern. 'By 1955 the internal marketing of export crops in almost every country was the legal monopoly of a state, parastatal or private organization'.¹⁰⁷ The origins of the monopolies have been traced to the great depression of the 1930s and war-time bulk purchasing arrangements. The depression apparently highlighted the need for stabilized producer prices and incomes if commodity production was to be maintained. It also revealed the inefficiencies of a marketing system which relied on avaricious middlemen who in East and Central Africa were likely to be East Indians. They provided 'exorbitant prices' when the economic climate was favourable and pulled out of the market if it was not so favourable, leaving growers despondent. These problems necessitated statutory intervention in crop production and marketing, but it was the war-time bulk-purchasing arrangements which eventually dictated the method of intervention. For most of the export crops, the monopolies created were too convenient to be dismantled'.¹⁰⁸ As for domestically consumed commodities, some East and Central African countries elected to relax the controls and to regulate the markets on an *ad hoc* basis.

This general picture of controlled marketing in Africa can to a large extent be confirmed by an overview of the legislation reviewed in this essay. A closer study of the manner in which the legislation was enacted, however, reveals the full complexity of the Nyasaland story. There was no smooth transition from the pre-depression controls to the post-war legal monopoly. It was almost by accident that the A.P.M.B. became the principal buyer of African economic crops in 1955. For most of the colonial period legislation was enacted *ad hoc*, in response to peculiar pressures on a particular sector. A freak result of the unsynchronized laws and policies was the seemingly contradictory advice given to cotton and tobacco growers during the

¹⁰⁵ *Government Gazette*, XIX, 28, 30 April 1978, and especially GN 319/82 which reconstituted the ADMARC Board.

¹⁰⁶ The Annual Report and Statement of Account for 1982 showed that ADMARC's formidable investment programme was as follows: The value of shares (in 39 companies) had increased from K25,170,423 in 1981 to K25,384,863 in 1982; secured debentures increased from K2,250,000 to K2,514,998; Income notes remained at K2,250,000; Unsecured loans increased from K36,591,154 to K37,080,428; and short term loans increased from K18,688,419 to K22,604,338.

¹⁰⁷ W. O. Jones *op. cit.*, p. 26 and generally pp. 23-45.

¹⁰⁸ Ehrlich *op. cit.*, p. 124.

depression. The former were exhorted to grow more cotton if pre-depression levels of income were to be maintained, but the latter were discouraged from increasing production and denied marketing facilities under rules sponsored by the N.T.B.

The story of controlled marketing in Nyasaland also shows that Indian traders were not nearly as influential as European settlers in the evolution of the law. The activities of the Indians may have been an important factor behind the introduction of controls for the cotton sector before the first world-war, but not thereafter. It was the settlers and their representatives in LEGCO who influenced the shape of the legislation, especially in the dark fire-cured peasant tobacco sector. This was because of settler interest in the production of this type of tobacco through the system of visiting tenancy.¹⁰⁹ It should be noted, however, that the colonial administration was not as accommodating to settler demands as it was in other aspects of the agricultural economy like the control of *Thangata*. Most of the legislation passed through LEGCO regardless of serious settler reservations. The contribution to the public purse which the statutory controls on marketing entailed accounted for this stance. This actually started with the B.C.G.A. cotton marketing arrangement which came into force before the convenient war-time arrangements were evolved. It is through this tripartite pull of interests between the colonial state, the settlers and the peasants that the relative importance of crop production and marketing legislation to the colonial agricultural economy, or the 'underdevelopment' of peasant agriculture, should be gauged. The legislation often carried the wishes of the state, tempered by the demands of the settlers, but requirements of the peasants were the last to be reckoned with although the entire arrangement depended on their continued participation in the agricultural economy.

It should finally be noted that in spite of the reduced flow of legislation in the post-colonial period, controls over production and marketing of peasant produced economic crops have retained their pivotal role in the agricultural economy. It was through the reform of the law and the sole crop marketing authority in 1971 that the independent state was able to perfect the system of transferring resources from the peasants to other sectors of the economy, including an estate sector which is now partly controlled by Malawians.¹¹⁰ Post-colonial policies are thus 'reminiscent' of the colonial policies, some of the notable differences being the scale of the current peasant-state transfers, the identity of some of the beneficiaries from the estate sector, and the absence of paternalism from the legislation.¹¹¹

¹⁰⁹ For a description of this type of tobacco production see J. McCracken, 'Share Cropping in Malawi: the Visiting Tenant Scheme in the Central Province c. 1920–1968', Paper presented at a conference on 'Malawi: the Alternative Pattern of Development', Center for African Studies, University of Edinburgh, May 1984.

¹¹⁰ Kydd and Christiansen, *op. cit.*, pp. 368–9.

¹¹¹ Leroy Vail, 'The State and the Creation of Colonial Malawi's Agricultural Economy', in Rotberg (ed) *Imperialism, Colonialism and Hunger in East and Central Africa* (Lexington Books, 1983) pp. 37–9, has suggested that Malawi's agricultural economy has been marked by structural continuities from the colonial to the post-colonial era, and that rather than stressing the changes which have occurred since independence, tracing the historical development of the political economy can best explain its current successes and weaknesses. There is danger that such a historical emphasis may obscure or overlook the subtle post-colonial legal and structural changes which have enabled the state to exploit efficiently the marketing of peasant economic crops.

LIST OF IMPORTANT CROP PRODUCTION AND
MARKETING LEGISLATION

- 1910 The Cotton Ordinance (No. 7 of 1910).
- 1912 Native Foodstuffs Ordinance (No. 2 of 1912).
- 1913 Cotton Rules (G.N. 7/1913).
- 1920 Native Foodstuffs (Amendment) Ordinance (No. 11 of 1920).
- 1923 Cotton (Amendment) Ordinance (No. 8 of 1923).
- 1926 Tobacco Ordinances (No. 5 of 1926).
- Maize Export Ordinance (No. 7 of 1926).
- 1928 Tobacco (Amendment) Ordinance (No. 22 of 1928).
- 1930 Tobacco (Amendment) Ordinance (No. 8 of 1930).
- 1931 Tobacco (Amendment) Ordinance (No. 7 of 1931).
- 1934 Purchase of Native Produce Ordinance (No. 12 of 1934).
- Cotton Ordinance (No. 16 of 1934).
- Tea Ordinance (No. 17 of 1934).
- 1935 Crown Land Cotton (Tax) Ordinance (No. 1 of 1935).
- Tea (Amendment) Ordinance (No. 7 of 1935).
- Cotton (Amendment) Ordinance (No. 7 of 1935).
- Tea Cess Ordinance (No. 17 of 1935).
- 1936 Flue-cured Tobacco Ordinance (No. 10 to 1936).
- Tobacco Uprooting Rules (G.N. 3/1936).
- 1937 Tobacco Ordinance (No. 17 of 1937)
- Tobacco Rules (G.N. 88/1937).
- 1938 Marketing of Native Produce Ordinance (No. 14 of 1938).
- 1939 Tea (Amendment) Ordinance (No. 7 of 1939)
- Marketing of Native Produce (Amendment) Ordinance (No. 2 of 1939).
- 1941 Native Foodstuffs (Amendment) Ordinance (No. 5 of 1941).
- 1943 Marketing of Native Produce (Amendment) Ordinance (No. 5 of 1943).
- 1946 Tobacco Ordinance (No. 10 of 1946).
- Tung Ordinance (No. 11 of 1946).
- Cotton (Amendment) Ordinance (No. 24 of 1946).
- Maize Control Ordinance (No. 34 of 1946).
- Tung (Amendment) Ordinance (No. 42 of 1946).
- Marketing of Native Produce (Amendment) (No. 46 of 1946).
- 1947 Tea (Amendment) Ordinance (No. 16 of 1947).
- Tobacco (Amendment) Ordinance (No. 31 of 1947).
- 1948 Tea Ordinance (No. 8 of 1948).
- 1949 Tea (Repeal) Ordinance (No. 5 of 1949).
- Cotton Ordinance (No. 11 of 1949).
- Maize Control Ordinance (No. 12 of 1949).
- Marketing of Native Produce (Amendment) Ordinance (No. 27 of 1949).
- 1950 Cotton (Amendment) Ordinance (No. 5 of 1950).
- Maize Control Amendment Ordinance (No. 8 of 1950).
- Tobacco Ordinance (No. 9 of 1950).
- Tobacco (Registration of Growers) Regulations (G.N. 164/1950).
- 1951 Maize Control (Amendment) Ordinance (No. 5 of 1951).
- Tobacco (Amendment) Ordinance (No. 9 of 1951).
- Cotton Ordinance (No. 29 of 1951).
- 1952 Produce Marketing Ordinance (No. 34 of 1952).
- Marketing of Native Produce (Amendment) Ordinance (No. 35 of 1952).
- Tobacco Ordinance (No. 39 of 1952).
- 1953 Marketing of Native Produce (Amendment) Ordinance (No. 17 of 1953).

- Tobacco (Amendment) (No. 3) Ordinance (No. 36 of 1953).
- Cotton (Amendment) Ordinance (No. 39 of 1953).
- 1954 Marketing of Native Produce Ordinance (No. 6 of 1954).
- Tobacco (Amendment) Ordinance No. 43 of 1954.
- 1955 Cotton (Amendment) Ordinance (No. 6 of 1955).
- Tobacco (Amendment) Ordinance (No. 7 of 1955).
- Produce Marketing (Amendment) Ordinance (No. 8 of 1955).
- Agricultural Production and Marketing Ordinance (No. 11 of 1955).
- 1958 Agricultural Production and Marketing Ordinance (No. 6 of 1958).
- 1959 Produce Marketing (Amendment) Ordinance (No. 12 of 1959).
- Produce Marketing Ordinance (No. 15 of 1959).
- 1960 Control of Foodstuffs Ordinance (No. 32 of 1960).
- 1962 Farmers Marketing Ordinance (No. 4 of 1962).
- 1963 Agricultural and Livestock Marketing Ordinance (No. 3 of 1963).
- Tobacco Control Commission Ordinance (No. 4 of 1963).
- Special Crops Ordinance (No. 27 of 1963).
- Farmers Marketing (Amendment) Ordinance (No. 30 of 1963).
- 1967 Statute Law (Miscellaneous) (Amendments) Act (No. 37 of 1967).
- 1970 Tobacco Act (No. 18 of 1970).
- Control of Tobacco Auction floors Act (No. 43 of 1970).
- 1971 Farmers Marketing (Amendment) Act No. 16 of 1971.
- 1972 Special Crops (Amendment) Act (No. 9 of 1972).
- 1974 Tung Repeal Act (No. 14 of 1974).
- 1980 Statute Law (Miscellaneous)(Amendments) Act No. 8 of 1980.